

BAL KRISHNA
GOENKA

42, TEXTILE MANUFACTURER
VICE-CHAIRMAN, WELSPUN GROUP
INITIAL INVESTMENT IN 1985 Rs 80 lakh
CURRENT TURNOVER Rs 9,900 crore

DREAM WEAVER

Not many would have credited a college dropout from Hisar with much business sense. But achievers tend to choose the roads less travelled. So when 18-year-old Bal Krishna Goenka felt the need to set up a new business that would put India on the global map way back in 1985, he decided not to loiter around in the college canteen in Delhi. He began travelling the world in search of opportunities that India could capitalise on. Those were not days when Brand India inspired faith, but he made it a point to visit Manchester in England to figure whether Indian exports could meet the standards set by the global textile industry.

On returning, he decided to start Welspun Winlon Silk Mills, a polyester texturising plant in Gujarat. Having begun the business with a de-

ferred payment guarantee of Rs 80 lakh from a bank, Goenka realised the textile industry made sense. The next step was to expand the business, so export seemed a logical step. Goenka, now the vice-chairman and managing director of the \$2-billion (Rs 9,900 crore) Mumbai-based Welspun Group, recalls: "While business was in my blood, exposure to global environment changed my perspective." Today, Welspun Group's flagship company Welspun Gujarat Stahl Rohren is the world's second-largest pipe producer and Welspun the largest exporter of terry towels in India.

Realising that the real opportunity existed in servicing the global market, Goenka appointed a consultant to analyse which markets could be cracked by an Indian textile firm. In 1993, he zeroed in on the market for towels in Europe and the US. Vapi in Gujarat became home to the first towel plant of the group. India was not a recognised export player in the world markets and Welspun had to go through a long chain of middlemen in order to get orders. The turning point came with the first order from WalMart for terry towels in 1998 for \$1 million. Today the company is among the leading suppliers to the world's best brands.

But Goenka was not content with textile exports alone. On his IPO roadshow in Germany, a relative advised him to look at the infrastructure space in India. That's when the third phase of the company began with another expansion push at an investment of Rs 800 crore in 2004. Suddenly capital was available to Indian entrepreneurs who had the guts and gumption to build businesses. From Temasek to ICICI Venture, Welspun's dream found takers at home and abroad. In 1995, Welspun decided on manufacturing pipes to be used for the transportation of oil and gas and executed some challenging projects like supplying pipes to the world's deepest pipeline in the Gulf of Mexico. In a decade, it has grown over 200 times from Rs 18 crore to Rs 4,010 crore. Having consolidated his textile business by acquiring front-end brands in developed markets and steel plants to feed the pipes business, Goenka has his path charted out. A path he believes will not be hindered too long by the global meltdown.

by Mallini Bhupta

SUCCESS MANTRA

If you partner with customers in resolving their problems, business will do well automatically

role MODEL

"My father is my role model as he has always encouraged me in everything I have done."

turning POINT

In 1998, when Welspun got its first order of \$1 million from the US retail major WalMart for terry towels

